CHAPTER TWO

TRIAL BY FIRE

Getting the Sound Back

NELCO was in a shambles when Ratan was asked to take over, recalls Noshir Soonawala, a veteran of over five decades with the Tata Group and finance director of Tata Sons for eleven years. It was financially sinking, and Ratan's appointment shackled his reputation to an organization hurtling towards closure.

Though it was an independent company within the Tata Group and the appointment looked substantial for a first job, it was in reality anything but that. In the three years before Ratan took over, from 1968 to 1970, NELCO had run a loss of Rs 98 lakh. Faulty planning and absence of dynamic leadership were its banes. Even as its products suffered model obsolescence and sales dwindled, production was not scaled down. This resulted in piling up of inventory and steady erosion of working capital.

The company's poor financial health did not deter the young Tata. But he was fully aware that he was tying his reputation to a failing entity. He shared this view in a letter to JRD, saying that he was fully conscious of the 'personal risk involved in becoming associated with a losing concern'. He stated that he would only take up the assignment if Tata Sons had the will to revive the company and infuse funds for the purpose. He was assured of support.

Ratan analysed the reasons for the company's poor health and concluded that it was because NELCO had no new models to offer, while the sales of the older models were sluggish. As an interim measure, he shifted focus to increasing sales and curtailing production to clear the unsold stock and reduce the requirement of working capital.